STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service	**Case 23-G-0225**
Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corporation d/b/a National Grid for Gas Service	**Case 23-G-0226**

POST-HEARING REPLY BRIEF OF THE CITY OF NEW YORK

June 10, 2024

Couch White, LLP
540 Broadway
Albany, New York 12201-2222
(518) 426-4600

STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service	Case 23-G-0225
Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corporation d/b/a National Grid for Gas Service	Case 23-G-0226

PRELIMINARY STATEMENT

On April 9, 2024, a Joint Proposal containing recommendations for new gas rate plans was filed in the above-referenced proceedings with the New York State Public Service Commission ("Commission"). On May 20, 2024, an evidentiary hearing ("Hearing") on the Joint Proposal was conducted by Administrative Law Judges ("ALJs") Maureen Leary and James Costello. Pursuant to the ALJs' ruling at the Hearing, DPS Staff and WE ACT for Environmental Justice ("WE ACT") filed post-hearing briefs on June 3, 2024. WE ACT's brief, as well as its general opposition to the Joint Proposal, focused in part on the proposed biomethane interconnection projects addressed in Section 7.8 of the Joint Proposal and the operation of the biomethane interconnection project at the Newtown Creek Wastewater Resource Recovery Facility ("Newtown Creek WRRF").

Contrary to WE ACT's assertions at the Hearing and in its brief, the biomethane interconnection project at the Newtown Creek WRRF and a proposed biomethane interconnection project at the Jamaica Wastewater Resource Recovery Facility promote the goals of the Climate Leadership Community Protection Act ("CLCPA") and the Climate Action Council's Final Scoping Plan ("Final Scoping Plan") by reducing net emissions of necessary operations at New

York City Department of Environmental Protection ("NYC DEP") wastewater resource recovery facilities.[1] Further, the Joint Proposal itself aims to solve many of the issues raised by WE ACT by taking steps to develop an in-state market for environmental attributes from biomethane projects, enhancing the reporting requirements of future biomethane interconnection projects, and strengthening reporting requirements concerning operations of the Newtown Creek WRRF.[2] The City of New York ("City") hereby offers this limited reply to WE ACT specific to these projects.

DISCUSSION

POINT I

THE BIOMETHANE PROJECTS CONFORM TO THE FINAL SCOPING PLAN AND COMMISSION PRECEDENT

In its post-hearing brief, WE ACT reiterates its prior arguments that "the interconnections are inconsistent with and would interfere with attainment of the CLCPA greenhouse gas reduction requirements because they would result in net greenhouse gas emissions and conflict with the Scoping Plan."[3] This position misconstrues the Final Scoping Plan. In fact, the Climate Action Council specifically stated that renewable natural gas may be considered "to decarbonize the gas system as it transitions."[4] And, as noted in the City's Reply Statement in Support in these proceedings,[5] the Commission recently authorized a new biomethane project in the most recent

---

1 *See infra* Discussion Point I.

2 *See infra* Discussion Point II, IV, V.

3 Cases 23-G-0225, *et al*., KeySpan Gas East Corporation d/b/a National Grid and The Brooklyn Union Gas Company d/b/a National Grid – Gas Rates, Post Evidentiary Hearing Brief of WE ACT for Environmental Justice (filed June 3, 2024) at 2 ("WE ACT Brief").

4 Climate Action Council, "Final Scoping Plan" (December 2022) at 351 ("Scoping Plan").

5 Cases 23-G-0225, *et al*., *supra*, City of New York Reply Statement in Support (filed May 10, 2024) at 5-6.

Consolidated Edison Company of New York, Inc. ("Con Edison") gas rate case, with conditions that are nearly identical to the conditions contained in the Joint Proposal.[6]

In this case, one of the new biomethane projects would be connected to an existing City wastewater resource recovery facility. The Final Scoping Plan recognizes that some wastes are unavoidable, and that "[c]apturing these unavoidable gases for strategic and local uses while the State transitions to electrification will help meet the requirements and goals of the [CLCPA] while avoiding future reliance on fossil fuels."[7] National Grid testified to the benefits of biomethane interconnections at these existing wastewater resource recovery facilities, noting that purification of biogas into biomethane avoids flaring of this gas that would otherwise occur.[8] National Grid confirmed that the volume of fuel used to purify this biogas is significantly lower than the amount of fuel that would otherwise be used to flare the biogas into the air.[9]

Reducing emissions in New York City is largely why the City is pursuing another biomethane project covered by the Joint Proposal. To the extent it is duly-permitted and sited during the Rate Plan,[10] this new project will allow the City to capture and beneficially re-use this biomethane, in turn dramatically reducing the localized air impacts associated with flaring.[11]

---

6 Cases 22-G-0065, *et al*., Consolidated Edison Company of New York, Inc. – Electric and Gas Rates, Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans with Additional Requirements (issued July 20, 2023) at 128-129.

7 Scoping Plan at 335.

8 Cases 23-G-0225, *et al*., *supra*, Evidentiary Hearing Transcript (filed May 30, 2024) at 76-77 ("Hearing Transcript").

9 *Id*. at 84-85.

10 As a National Grid witness noted, any new biomethane interconnection projects will need to receive Title V permits from the Department of Environmental Conservation. *See* Hearing Transcript at 87.

11 Hearing Transcript at 85-86.

Contrary to WE ACT's assertions, these outcomes are consistent with both the Scoping Plan and Commission precedent.

POINT II

THE BIOMETHANE PROJECTS UNDERLINE THE NEED FOR AN IN-STATE ATTRIBUTE MARKET

WE ACT argues that the biomethane interconnection projects cannot be considered in compliance with the CLCPA because National Grid will not be buying the associated environmental attribute credits.[12] The City recognizes the concern with the credits being sold out of state. This, in itself, should not prevent these projects from moving forward. To the contrary, this only underscores the need to develop an in-state market for these environmental attributes so the environmental benefits of the projects can be recognized locally.

Further to this effort, the Joint Proposal provides a strategy to keep the environmental benefits local. Specifically, the Joint Proposal requires KEDNY senior staff to meet with senior staff at Con Edison and other hard-to-electrify customers in New York City to discuss the potential purchase and sale of biomethane and associated environmental attributes.[13] The City strongly recommends that the Commission approve the Joint Proposal so that the State can take this first step to developing an in-state market for the environmental attributes from biomethane projects.

---

[12] WE ACT Brief at 1-2.

[13] Joint Proposal at 57.

POINT III

WE ACT'S CONCERNS ABOUT LEAKAGE FROM BIOMETHANE PRODUCTION ARE OVERSTATED

WE ACT is concerned that National Grid has not provided an estimate of the leakage resulting from transporting the biomethane from the production facility to the distribution system at each interconnection site.[14] National Grid provided the leakage rates associated with the facilities that are currently installed and would be used to transport renewable natural gas from the production facility to National Grid's distribution systems. The rates per mile for both 2022 and 2023 were minimal.[15] As such, there is no material impact from leakage and the leakage rates help confirm that biomethane production will result in a net emissions reduction.

Moreover, for the biomethane projects co-located at existing wastewater resource recovery facilities, WE ACT overlooks the nature of the highly dense urban environment of New York City. The point of production for the biomethane will, in all likelihood, be close to the point of consumption. As the biomethane is not transported far, the concern of leakage during transport is significantly lower than concerns with gas leaks in pipelines that transport upstream supply over long distances.

POINT IV

ADDITIONAL EMISSIONS REPORTING CAN BE ACHIEVED THROUGH THE JOINT PROPOSAL

At the Hearing, National Grid acknowledged that they do not presently track the full scope of emissions from the biomethane purification process. In its Post-Hearing Brief, WE ACT claims

---

[14] WE ACT Brief at 3.

[15] *See* Exhibit 722.

that "[a] full accounting of the interconnections' net greenhouse gas emissions is therefore impossible to achieve."[16]

The City recognizes WE ACT's concern and agrees that a full accounting of net GHG emissions from biomethane production is needed. Contrary to WE ACT's assertion, however, this accounting can be achieved, and the Joint Proposal provides a mechanism for National Grid to do so. In particular, the Joint Proposal requires National Grid to file a report with the Commission at least 90 days prior to commencing construction of a biomethane interconnection project. This report must include "a detailed accounting of the upstream GHG emissions avoided by the biomethane that the Companies will procure as a result of the interconnection."[17]

This reporting requirement provides an opportunity for National Grid to examine the full benefits from these projects. To further improve upon the proposed framework, to the extent that it deems it necessary, the Commission could require National Grid to include, as part of the upstream GHG avoidance calculations, the emissions associated with producing the biomethane.[18]

POINT V

LESSONS LEARNED AT NEWTOWN CREEK CAN IMPROVE OPERATIONS AT NEW BIOMETHANE SITES

Several parties expressed concerns over the operations of KEDNY's Newtown Creek purification system, which operates in conjunction with the NYC DEP digesters at the Newtown Creek WRRF. These concerns have influenced opposition to interconnecting new biomethane

---

16 WE ACT Brief at 3.

17 Joint Proposal at 55-56.

18 Acknowledging the emissions created by the production process, one should also consider the significant emissions avoided through co-digestion of food waste versus shipping that waste to a landfill, where it will otherwise decay and release methane directly to the atmosphere.

projects. While the City recognizes there have been challenges at Newtown Creek, the Joint Proposal properly addresses these concerns, and the City views the future interconnection project between National Grid and the City as an opportunity to use the lessons learned at Newtown Creek to improve future projects.

KEDNY began operation of the Newtown Creek system in 2023, after several years of delay, at one of the largest wastewater resource recovery facilities in the country. While initial operations were challenging, the project has continuously improved in recent months, and the City has witnessed a reduction in flaring at Newtown Creek, as noted by National Grid during the Hearing.[19] Reducing flaring in turn reduces emissions. The City intends to (and expects National Grid to) build off these improvements to not only continue to improve the existing facility, but to incorporate lessons learned into future projects at other City wastewater resource recovery facilities. Additionally, the reporting requirements in the Joint Proposal will keep stakeholders and the Commission apprised of these ongoing efforts at Newtown Creek, which will also help to inform future biomethane interconnections.

[19] *See* Hearing Transcript at 86. Mr. Connolly testified that historical flaring activity at Newtown Creek has been reduced by 80% for the first year of service.

CONCLUSION

For all the reasons set forth herein and in the City's Initial Statement in Support and Reply Statement, the concerns raised by the opposing parties regarding the Newtown Creek WRRF and new biomethane interconnections have been sufficiently addressed by provisions within the Joint Proposal that are in the public interest and provide for safe and adequate service.

Respectfully submitted,

Adam T. Conway

Adam T. Conway, Esq.
Robert M. Loughney, Esq.
Melanie M. Franco, Esq.
COUCH WHITE, LLP
Counsel for the City of New York
540 Broadway
Albany, New York 12201-2222
aconway@couchwhite.com
rloughney@couchwhite.com
mfranco@couchwhite.com

June 10, 2024
Albany, New York